Money and Credit

The big idea

Money is something we use every day, but have you wondered **why** people accept a piece of paper in exchange for goods? This chapter explains **money as a medium of exchange**, **modern forms of money** (currency and bank deposits), how **banks** create **credit**, and why access to cheap and fair **credit** is crucial for development, especially for the poor, through **formal sources** and **Self-Help Groups**.

Money as a medium of exchange

In a **barter system**, goods are directly exchanged without the use of money. A shoe manufacturer who wants wheat must find a wheat farmer who not only sells wheat but also wants to buy shoes. Both parties must agree to sell and buy each other's commodities.

DOUBLE COINCIDENCE OF WANTS

What a person desires to sell is **exactly what the other wishes to buy**. In a barter system, this is essential and very hard to find. Money **eliminates the need for double coincidence of wants** by acting as an intermediate in the exchange process. That is why money is called a **medium of exchange**.

Modern forms of money

Before coins, a variety of objects were used as money: **grains and cattle**, then **metallic coins** of gold, silver and copper. Modern forms of money include **currency (paper notes and coins)** and **deposits with banks**.

WHY IS CURRENCY ACCEPTED?

Modern currency is not made of precious metal and has no use of its own. It is accepted as a medium of exchange because it is **authorised by the government** of the country. In India, the **Reserve Bank of India (RBI)** issues currency notes on behalf of the **central government**. As per Indian law, no other individual or organisation is allowed to issue currency. The law **legalises the use of rupee** as a medium of payment that **cannot be refused** in settling transactions in India. No individual in India can legally refuse a payment made in rupees.

Deposits with banks. People deposit extra cash with banks by opening an account in their name. Banks accept deposits and also **pay an amount as interest** on them. Since deposits in bank accounts can be withdrawn on demand, they are called **demand deposits**. Demand deposits share the essential features of money: they can be used for payments through **cheques**.

CHEQUE

A **paper instructing the bank to pay a specific amount from the person's account to the person in whose name the cheque has been issued**. The facility of cheques against demand deposits makes it possible to directly settle payments without the use of cash. Today, digital modes (debit cards, UPI, net banking) also transfer demand deposits.

Loan activities of banks

Banks keep only a small proportion of their deposits as **cash** with themselves; in India, banks hold about **15 per cent** of their deposits as cash. This is kept as provision to pay depositors who might come to withdraw money on any given day. Since only some depositors come to withdraw cash at a time, banks can manage with this cash. Banks use the **major portion of deposits to extend loans**. There is a huge demand for loans for various economic activities.

Banks mediate between those who have surplus funds (depositors) and those who need funds (borrowers). Banks charge a **higher interest rate on loans** than what they offer on deposits. The difference between the two is the **main source of income for banks**.

Two different credit situations

CREDIT (LOAN)

An **agreement in which the lender supplies the borrower with money, goods or services in return for the promise of future payment**.

CREDIT AS A SUPPORT: SALIM

Salim, a shoe manufacturer, gets an order from a large trader in town for 3,000 pairs of shoes to be delivered in a month. He obtains supplies of leather on credit and promises to pay later, and gets an advance payment from the trader. He completes the order, makes a good profit and repays. Here, credit plays a **vital and positive role**: it helps him meet ongoing expenses of production, complete production on time and increase earnings.

DEBT TRAP: SWAPNA

Swapna, a small farmer, takes a loan from a moneylender for her groundnut crop. The crop is hit by pests and fails. She cannot repay, the debt grows with high interest, and she has to sell part of her land to repay. Here, credit pushes her into a **debt trap**: a situation in which the borrower is left in a worse condition than before.

Whether credit is useful or not depends on the **risks in the situation** and whether there is some support in case of loss.

Terms of credit

Every loan agreement specifies:

- **Interest rate**: the rate at which the borrower must pay the lender along with repayment of the principal.
- **Collateral**: an **asset that the borrower owns** (land, building, vehicle, livestock, deposits with banks) and uses as a **guarantee to a lender until the loan is repaid**. If the borrower fails to repay, the lender has the right to sell the asset to obtain payment.
- **Documentation** required.
- **Mode of repayment**.

Terms of credit vary substantially from one credit arrangement to another, depending on the nature of the lender and the borrower.

Formal and informal sources of credit

Formal sources	Informal sources
Banks and cooperatives	**Moneylenders, traders, employers, relatives and friends**
Supervised by the RBI, which monitors that banks maintain the minimum cash balance and give loans not just to profit-making businesses but also to small cultivators, small-scale industries, small borrowers	**No organisation supervises** their credit activities
Lower interest rates	They can lend at **whatever interest rate they choose**; no one stops them from using **unfair means** to get money back
Need collateral and documentation	Often no collateral needed, but higher cost

WHY THE FORMAL SECTOR SHOULD EXPAND

- Higher cost of informal borrowing means a **larger part of earnings goes to repaying loans**, leaving less income for the borrower; in some cases, the interest exceeds the borrower's income, leading to a **debt trap**.
- Cheap and affordable credit is crucial for the country's development: it allows people to grow crops, do business, set up small-scale industries and invest in new industries.
- Banks and cooperatives need to lend more, particularly in rural areas, so that dependence on informal sources reduces.
- Formal credit is currently distributed unequally: **rich households** get most of their credit from **formal sources**, while **poor households** depend largely on **informal sources**. So it is important that formal credit is **equally distributed** and reaches the poor.

Why don't poor households get bank loans? Banks are not present everywhere in rural India; getting a bank loan is difficult because it requires proper documents and **collateral**. Absence of collateral is one of the major reasons why banks are not willing to lend to the poor. Moneylenders know borrowers personally and are often willing to give loans without collateral; the borrower can approach them even without repaying earlier loans, but at very high rates of interest.

Self-Help Groups for the poor

SELF-HELP GROUPS (SHGS)

- A typical SHG has **15–20 members**, usually belonging to one neighbourhood, who meet and **save regularly**. Savings per member vary from ₹25 to ₹100 or more, depending on ability.
- Members can take **small loans from the group itself** to meet their needs. The group charges interest on these loans, still less than what the moneylender charges.
- **After a year or two**, if the group is regular in savings, it becomes **eligible for availing loan from the bank**. The loan is sanctioned in the **name of the**

group and is meant to create self-employment opportunities for members (e.g., small loans to release mortgaged land, for working capital, housing, buying assets like sewing machines, handlooms, cattle).

- **Decisions** regarding savings and loan activities are taken by the **group members**. The group decides the loans to be granted, purpose, amount, interest, repayment schedule. The group is responsible for repayment; any case of non-repayment is followed up by other members.
  Benefits: helps borrowers **overcome the problem of lack of collateral**; gives timely loans for a variety of purposes at a reasonable interest rate; organises rural poor, especially **women**; makes women financially self-reliant; regular meetings provide a platform to discuss and act on social issues like health, nutrition, domestic violence.

GRAMEEN BANK OF BANGLADESH

Started in the 1970s as a small project, the **Grameen Bank** of Bangladesh lends to the poor, mostly **women**, at reasonable rates without collateral. Its founder, **Professor Muhammad Yunus**, received the **Nobel Peace Prize in 2006**. It shows that the poor are creditworthy: they can be trusted to repay loans.

COLLATERAL IS NOT THE INTEREST

Collateral is an **asset pledged as a guarantee**; interest is the **extra amount paid** on the loan. Don't confuse the two in "terms of credit" answers.

BOARD FAVOURITES

"How does money solve the problem of double coincidence of wants?", "Why are demand deposits considered money?", "Why is the rupee accepted as a medium of exchange?", "Explain terms of credit", "Distinguish formal and informal sources" (3 marks), "How do SHGs help the poor?" (5 marks), "Credit can be both useful and harmful: explain with examples".

Quick recap

- Money solves the double coincidence of wants; it is a medium of exchange.
- Modern money: currency (issued by RBI on behalf of the government; legal tender) and demand deposits (cheques).
- Banks keep about 15% of deposits as cash and lend the rest; interest difference is their income.
- Credit can help (Salim) or create a debt trap (Swapna).
- Terms of credit: interest, collateral, documentation, mode of repayment.
- Formal (banks, cooperatives, RBI-supervised) vs informal (moneylenders, traders, relatives).
- SHGs (15–20 members) and Grameen Bank (Muhammad Yunus, Nobel 2006) extend credit to the poor without collateral.

Practice questions

1. In a barter system, the main difficulty is the need for
   (a) collateral (b) a central bank (c) a cheque book (d) double coincidence of wants
2. Who issues currency notes in India on behalf of the central government?
   (a) State Bank of India (b) Reserve Bank of India (c) Ministry of Finance (d) NABARD
3. Deposits in bank accounts that can be withdrawn on demand are called
   (a) fixed deposits (b) collateral (c) demand deposits (d) credit
4. Which of these is an informal source of credit?
   (a) Commercial bank (b) Cooperative society (c) Regional rural bank (d) Moneylender
5. An asset that a borrower pledges as a guarantee until a loan is repaid is called
   (a) interest (b) collateral (c) principal (d) deposit
6. A typical Self-Help Group has
   (a) 2–5 members (b) 50–100 members (c) 200 members (d) 15–20 members
7. Professor Muhammad Yunus, who won the Nobel Peace Prize in 2006, founded the
   (a) Reserve Bank of India (b) Grameen Bank of Bangladesh (c) World Bank (d) Asian Development Bank
8. Why do banks and cooperatives need to lend more in rural areas? Give three reasons.
9. Explain how Self-Help Groups help the rural poor.

Answers: 1. d 2. b 3. c 4. d 5. b 6. d 7. b 8. see notes 9. see notes